

Interest Rate Swaps (IRS)

Interest Rate swaps are a derivative contract where the counterparties are exchanging interest rate payments. One party will pay a fixed interest rate specified at the date the contract is agreed, while the other will pay a floating interest rate, which is set at regular intervals based upon the current reference interest rate at the reset date. For USD swaps, the standard reference rate is SOFR. The notional on which the interest payments are based is also agreed at the start date, although there is no upfront exchange of this notional. The tenor of the trade will be specified at the time of trade. For example, a 10-year IRS means that the swap has a 10-year term (i.e. the counterparties exchange these payments at the set intervals for the entire 10 years with the same fixed interest rate or until the swap is cancelled (this is termed an unwind)). Note that SOFR is based on transacted overnight loans collateralised by Treasuries between major banks.

Swap Spreads

This involves trading two IRS at once with opposite directions and in the same size. The direction of the trade is specified as what the client is doing on the longer tenor trade. So, if a client pays 1s2s they are paying the two-year IRS and receiving the one-year IRS. The purpose of this trade is to take a view on the shape of the yield curve rather than an outright rates position. This can be, for example, to take a view on the timing of rate changes or on terminal rates.

FOMC Swaps

Similar to IRS, FOMC swaps involve the exchange of interest rate payments. The difference is that the underlying interest rate for an FOMC meeting swap is the daily Federal Funds rate. In addition, these swaps have very short tenors with dates lined up to match the FOMC meetings. For example, the December 2022 FOMC swap would have a tenor going from the December meeting until the January meeting. FOMC swaps thus allow clients to express a view on a specific meeting. As the underlying rate is the Fed Funds rate, there is no credit risk component to the underlying interest rate and they are seen as directly reflecting what is priced in for the meeting in terms of hikes/cuts.

US Treasuries Notes and US Treasury Bonds (UST)

US Treasuries are government debt instruments issued by the US Government (through the Treasury Department). There are four types of Treasuries. Treasury notes have maturities of 2, 3, 5, 7, or 10 years. Treasury Bonds have longer maturity dates. Treasuries are sold initially in the "primary market" by the Federal Reserve Bank of New York. An active secondary market exists in these securities and thus clients can purchase these Treasuries OTC directly from a Citi Trading Desk. Similar to other bonds, these Treasuries will have a face value, a coupon, and a maturity date. The price at which a bond is purchased will determine the yield they will receive on their investment, and as the price of a bond increases the yield will decrease. Treasuries are generally considered a risk-free asset as they are backed by the credit of the US Government.

US Treasury Futures

Available in 2-, 5-, 10-, and 30-year tenors these futures contracts are physically delivered with the underlying being a basket of US Treasuries of roughly the tenor specified in the contract. The eligible Treasuries are pre-determined and the counterparty shorts the

contract at expiry can choose which of these Treasuries to deliver. The optimal bond to deliver is termed the “cheapest to deliver,” and the risk associated with these futures is thus directly tied to the risk of this specific Treasury. As these products are listed on the exchange, they are more liquid than OTC products such as swaps.